

AMD Q1 2026 Earnings Transcript

Blind Sentiment & Directional Score

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Conventions (sealed before reading)

- **Outputs (exactly four):** sentiment score $\in [-1, +1]$, directional signal $\in \{\text{BUY, HOLD, SELL}\}$, structured summary, evidence quotes.
- **HOLD band:** $|\text{overnight move}| < 2.00\%$. Above $+2.00\%$, BUY is correct. Below -2.00% , SELL is correct.
- **Timing rule:** The company releases after the market close. The overnight move is defined as $(\text{next-trading-day Open} \div \text{release-day Close}) - 1$, applied identically to every report.
- **Price source:** Yahoo Finance daily OHLC pulled via the `yfinance` Python library.
- **Research:** Google is allowed for context (definitions, prior-quarter framing, industry data). Not allowed before sealing: the stock's price action after the release, after-hours quotes, or post-call analyst takes.
- **Pre-registered metrics:** the primary metric is the Information Coefficient (correlation between the sentiment score and the realised move); the BUY/HOLD/SELL labels are additionally scored with the Matthews Correlation Coefficient (MCC), where guessing the most common label scores zero. Both fixed in advance; no new metrics after seeing results.
- **Horizons:** returns are recorded at overnight, 1, 3, 5, 10 and 20 trading days to locate where the signal lives. The $\pm 2.00\%$ band applies to the overnight move only.

Report metadata

Company	Advanced Micro Devices, Inc. (AMD)
Report	Q1 2026
Release date	Tuesday 5 May 2026, after close
Earnings call	5:00pm ET
Source transcript	Motley Fool
Press release	Form 8-K, SEC EDGAR, filed 5 May 2026
Read mode	transcript and news only
Time to produce	51 minutes

Source material (read this first)

Headline financials

- Revenue \$10.3B, up 38% year over year. Diluted EPS \$1.37, up 43%.
- Data Center \$5.8B, up 57%. Client and Gaming \$3.6B, up 23%. Embedded \$873M, up 6%.
- Gross margin 55%, up 170bps. Record free cash flow \$2.6B, roughly 25% of revenue.

Forward guide

- Q2 2026 revenue guided to about \$11.2B plus or minus \$300M, up 46% year over year and 9% sequentially.

- Q2 gross margin 56%, opex \$3.3B.
- Server CPU TAM now framed at a greater than 35% CAGR, reaching over \$120B by 2030. Helios rack ramp starts H2 with volume in Q4.

Hedges and concerns

- Second-half PC and gaming demand pressure from memory and component cost inflation.
- Supply chain tightness across wafer and back-end capacity.
- The MI450 ramp carries below-average gross margins, a Q4 headwind.

News and context going into the print

Pre-release context only. Nothing below reveals the market reaction to this report.

- Consensus looked for about \$9.9B of revenue and \$1.29 of EPS, so the bar was high but well mapped.
- Analysts had raised targets after the strong Q4 guide in February, with Evercore, BofA and Truist among them.
- The focus going in was the pace of the MI450 and Helios ramp into the second half, and whether data center growth could keep accelerating on a bigger base.

Candidate evidence quotes

1. “Server CPU TAM now expected at greater than 35% CAGR, reaching over \$120 billion by 2030” – Su, prepared remarks.
2. “Largely additive to TAM ... CPU to GPU ratios changing from 1:4 to 1:1 configurations” – Su, Q&A.
3. “Free cash flow more than tripled to record \$2.6 billion, 25% of revenue” – Hu, prepared remarks.
4. “We’re confident in our ability to supply ... tightness in data center build-outs” – Su, Q&A.

Your scoring – fill in below, then seal

1 Sentiment score

Score: +0.80

Rationale. Another beat with the data center accelerating to 57%, record free cash flow and a Q2 guide far above the current run rate. Cost inflation and the MI450 margin drag are the only blemishes.

2 Directional signal

Signal: BUY

Rationale. Acceleration on a bigger base plus a guide implying 46% growth is hard to sell, even after a strong run. BUY.

3 Structured summary

- **Data center and AI.** The engine. Up 57% and still speeding up.

- **Client and gaming.** Fine, with second-half softness flagged but contained.
- **Margins and cash.** Record free cash flow at roughly a quarter of revenue.
- **Forward guide.** The standout, implying about 46% growth for Q2.

4 Evidence quotes

1. “*Server CPU TAM now expected at greater than 35% CAGR, reaching over \$120 billion by 2030*” – Su, prepared remarks (market size).
2. “*Free cash flow more than tripled to record \$2.6 billion, 25% of revenue*” – Hu, prepared remarks (cash).
3. “*We’re confident in our ability to supply ... tightness in data center build-outs*” – Su, Q&A (supply).

— **SEALED** —

Overnight move and call verification

AMD close, 5 May 2026 (release day)	\$355.26
AMD open, 6 May 2026	\$409.49
Overnight move (release close → next open)	+15.26%

Call verification

- HOLD band test: $|+15.26\%| \geq 2.00\%$, so this is not a HOLD.
- Sign test: the move is positive, so the correct directional call is **BUY**.
- Score given vs. correct call: signal was **BUY**, matching the correct call, so the call was **CORRECT**.

Horizon returns (pre-registered)

For the Information Coefficient. Returns measured from the same baseline close used for the overnight move, at fixed trading-day horizons, from the single price source (yfinance). Filled only after sealing.

Horizon	Return
Overnight (baseline for the label)	+15.26%
D+1 close	+18.61%
D+3 close	+28.13%
D+5 close	+26.19%
D+10 close	+16.55%
D+20 close	+52.71%